

Customer Retention & Revenue Optimization Report

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1. Executive Summary

This report presents an analysis of customer behavior and revenue performance using **RFM segmentation, cohort analysis, and regional revenue analysis** to identify opportunities for improving customer retention and driving revenue growth.

The analysis reveals a **significant decline in customer activity over time**, with transactions decreasing from **9.5K to 2.2K** and active customers dropping from **100 to 49** over a six-month period. Revenue followed this trend, falling from **23.5bn MMK to 5.7bn MMK**, indicating that performance is primarily driven by declining engagement rather than reduced spending per order.

Customer segmentation highlights a **large base of Potential Loyalists (26%)**, representing a key growth opportunity, while **At Risk (16%) and Hibernating (17%) customers** indicate substantial churn risk.

The findings suggest that **targeted retention strategies and early intervention mechanisms** could significantly improve revenue performance. Even modest improvements in retention across key segments could result in meaningful short-term revenue uplift.

2. Business Problem

Customer retention is a critical driver of long-term business performance. Retaining existing customers is generally more cost-effective than acquiring new ones, yet many businesses lack visibility into:

- Which customers generate the most value
- Which customers are at risk of churn
- How customer engagement evolves over time
- Where to prioritize retention and growth efforts

This project addresses these challenges by developing a **customer analytics framework** that transforms transactional data into actionable insights using behavioral segmentation and lifecycle analysis.

3. Data & Methodology

3.1 Dataset

The analysis is based on a transactional sales dataset containing:

- Customer ID
- Transaction dates
- Revenue per transaction
- Geographic region

From this data, customer-level metrics were derived:

- **Recency** – time since last purchase
- **Frequency** – number of transactions
- **Monetary** – total revenue per customer

3.2 Analytical Approach

The analysis combines three key methods:

RFM Segmentation

Customers were grouped based on purchasing behavior into segments such as:

- Champions
- Loyal
- Potential Loyalists
- Active / Active Low-Value
- At Risk
- Can't Lose Them
- Hibernating

This allows identification of **high-value customers, growth opportunities, and churn risks**.

Cohort Analysis

Customers were grouped by their **initial segment (January baseline)** and tracked over time to analyze:

- Changes in engagement

- Migration between segments
- Early indicators of churn

Revenue & Regional Analysis

Revenue performance was analyzed across:

- Time (monthly trends)
- Customer segments
- Geographic regions

This helps identify **key revenue drivers and regional growth opportunities.**

4. Analysis & Findings

4.1 Declining Customer Activity

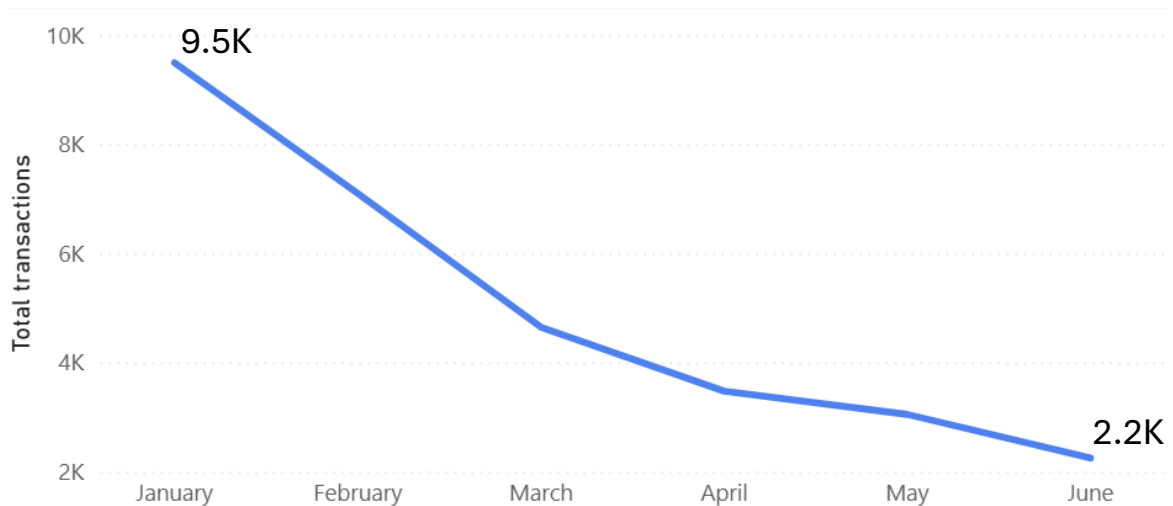


Figure 1 Monthly transaction trends.

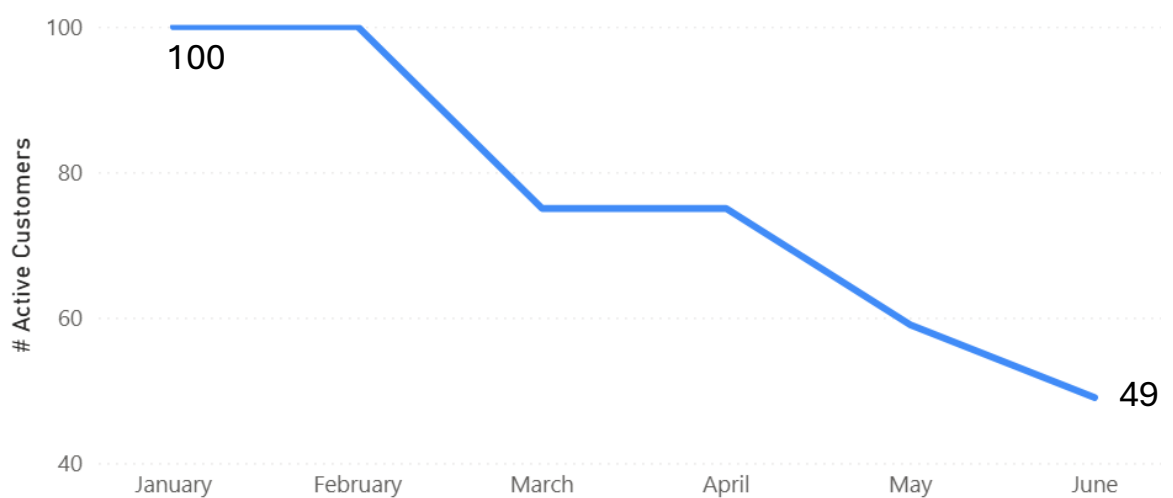


Figure 2 Number of active customers by month.

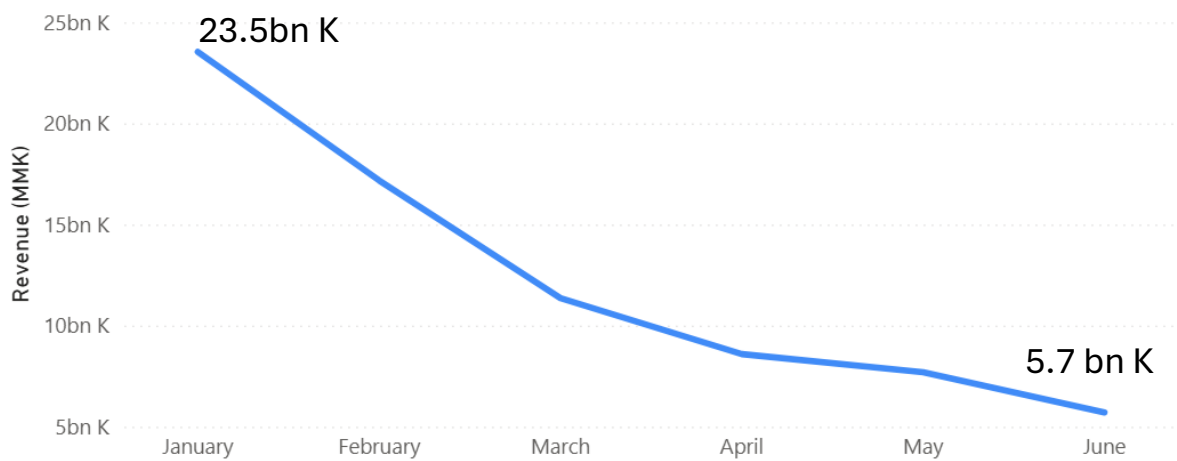


Figure 3 Monthly revenue trends.

Customer activity shows a clear downward trend:

- Transactions decreased from **9.5K** → **2.2K**
- Active customers dropped from **100** → **49**
- Revenue declined from **23.5bn** → **5.7bn MMK**

This indicates that **revenue loss is primarily driven by reduced engagement**, not reduced spending per transaction.

4.2 Stable Customer Spending

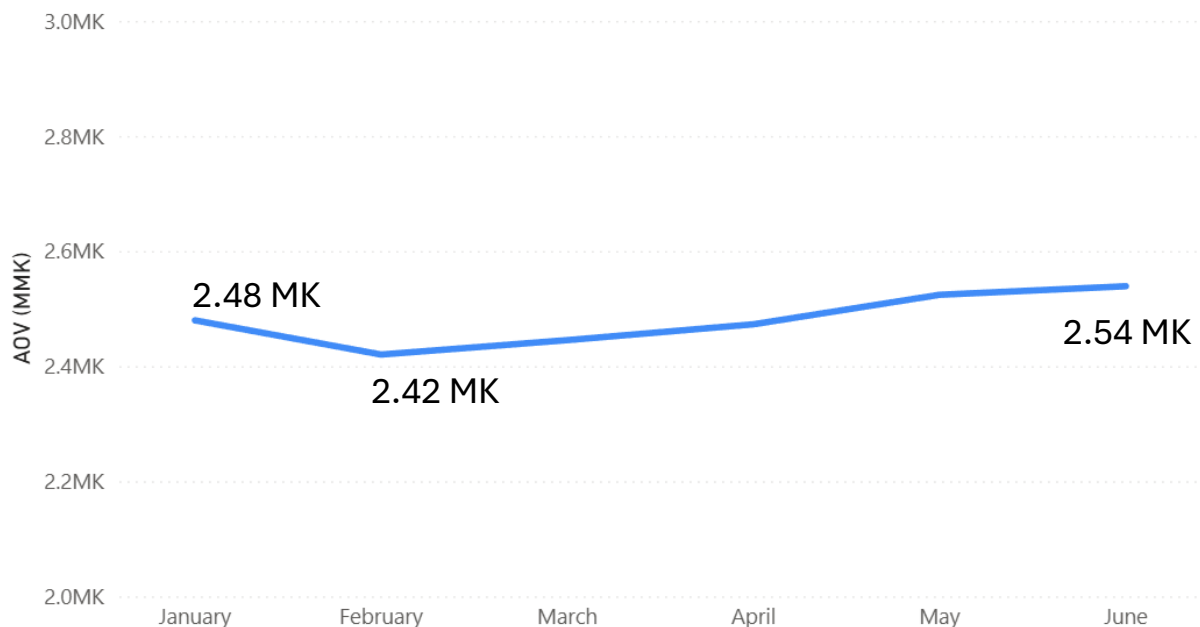


Figure 4 Monthly average order value (AOV).

Despite declining activity:

- Average Order Value remained stable (~2.4M–2.5M MMK)

This suggests that **customers who remain active continue to spend at similar levels**, reinforcing that retention is the key issue.

4.3 Customer Segmentation Insights

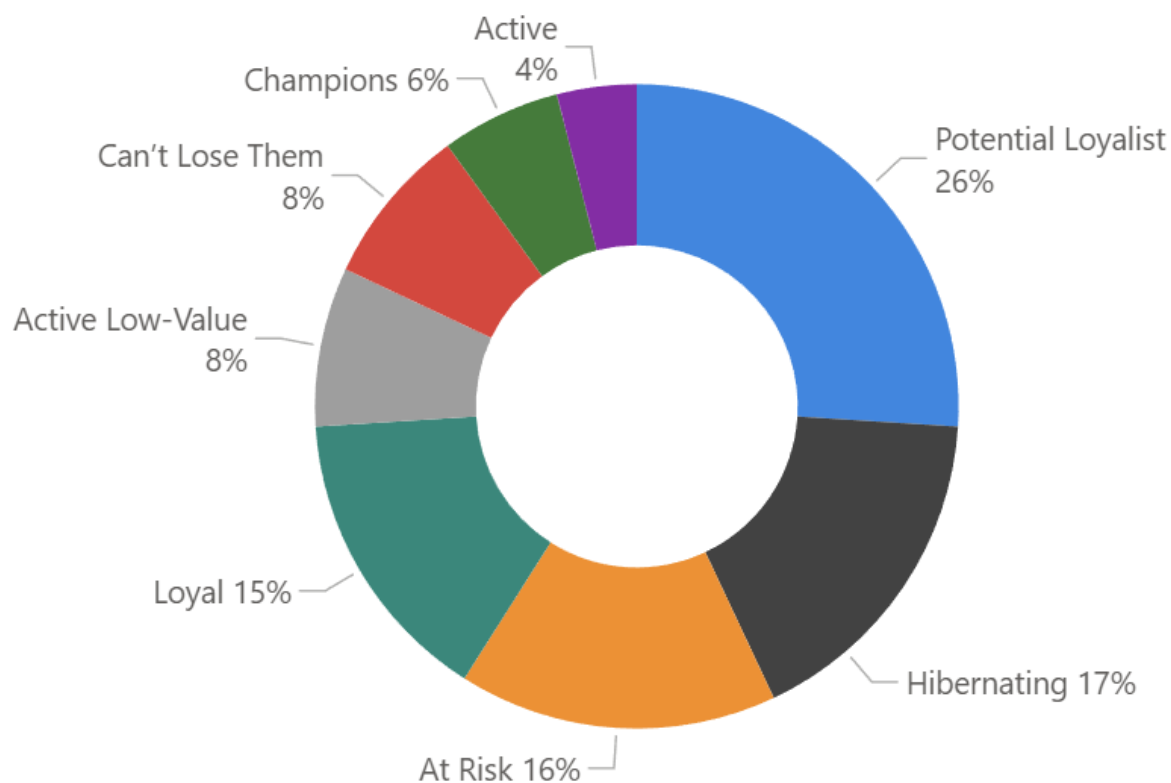


Figure 5 Customer segmentation make-up.

- **Potential Loyalists (26%)** represent the largest segment and strongest growth opportunity
- **Hibernating (17%) + At Risk (16%) = ~33% of customers**, indicating high churn exposure
- **Champions (6%)** generate the highest value despite small size
- **Can't Lose Them** customers show high historical value but declining engagement

Overall, customer value is **highly concentrated in a small number of customers**, making retention critical.

4.4 Customer Lifecycle Trends

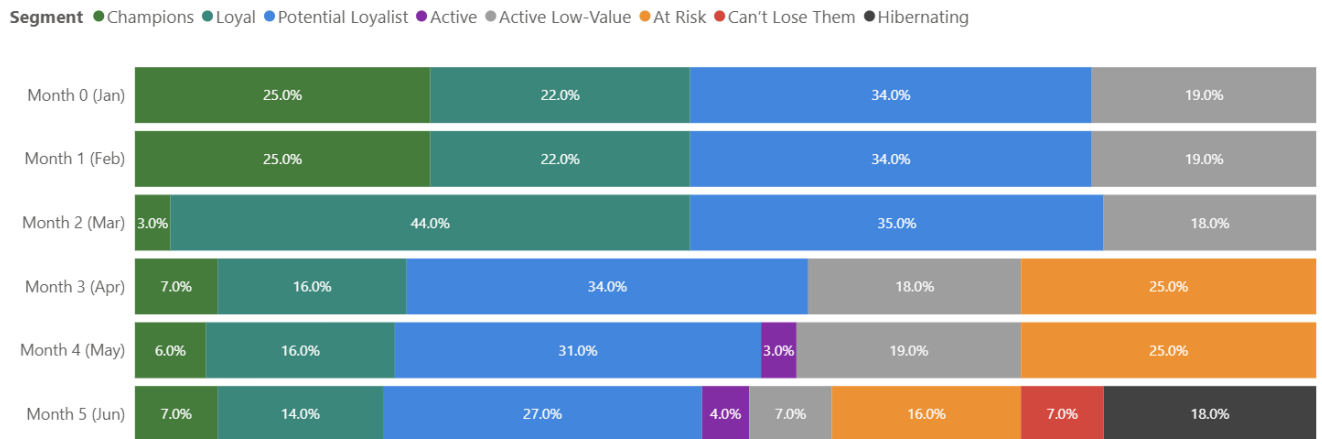


Figure 6 Customer Segment migration over six-month period.

Cohort analysis shows:

- Customers tend to **move from Potential Loyalist → Loyal → At Risk → Hibernating**
- Engagement declines over time without intervention
- Some **Active Low-Value customers can transition upward**, indicating growth potential

This highlights the importance of **early engagement and lifecycle management**.

4.5 Regional Performance Insights

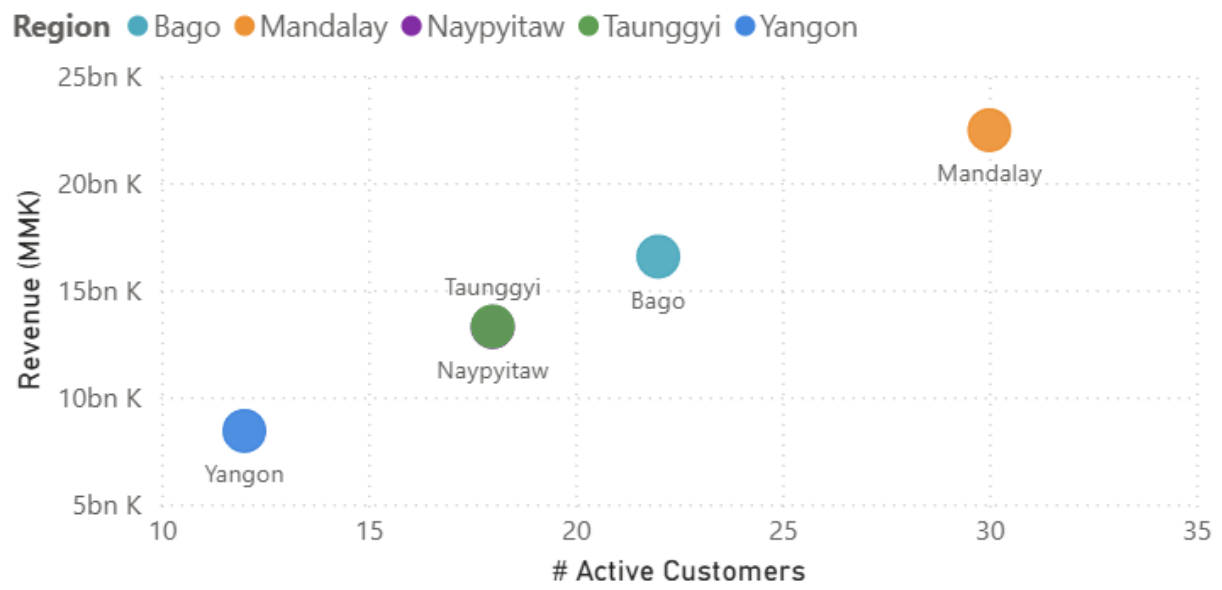


Figure 7 Regional customer value distribution by revenue and number of active customers.

- **Mandalay** is the strongest region (highest revenue and customer count)
- **Yangon** underperforms despite having a moderate customer base
- AOV is consistent across regions (~2.4M–2.5M MMK), meaning:

Revenue differences are driven by **customer volume, not spending behavior**

This suggests opportunities for **regional customer acquisition and engagement strategies**.

5. Business Recommendations

5.1 Retain High-Value Customers

Focus on **Champions and Loyal** customers:

- Loyalty programs
- Exclusive offers
- Personalized engagement

5.2 Recover At-Risk Customers

Target **At Risk and Can't Lose Them** segments:

- Win-back campaigns
- Time-limited incentives
- Personalized outreach

These customers represent **high-probability revenue recovery**.

5.3 Develop Growth Segments

Invest in **Potential Loyalists**:

- Targeted promotions
- Onboarding campaigns
- Cross-selling strategies

This segment offers the **highest ROI for long-term growth**.

5.4 Reactivate Hibernating Customers

Use **low-cost strategies**:

- Email campaigns
- Discounts or reminders
- Automated re-engagement flows

5.5 Optimize Regional Strategy

- Use **Mandalay as a growth benchmark**
- Investigate **lower performance in Yangon**
- Focus on **increasing customer volume in weaker regions**

5.6 Implement Early Churn Detection

Use cohort and RFM monitoring to:

- Identify declining engagement early
- Trigger automated interventions
- Prevent customers from entering At Risk / Hibernating stages

6. Conclusion

This analysis demonstrates that **customer retention is the primary driver of revenue performance** in this dataset.

While spending per transaction remains stable, the decline in active customers has led to significant revenue loss. However, the presence of strong segments such as **Potential Loyalists and At Risk customers** presents a clear opportunity for recovery and growth.

By implementing targeted retention strategies and improving lifecycle management, the business can:

- Reduce churn
- Increase customer lifetime value
- Drive sustainable revenue growth

Even modest improvements in retention rates could lead to **measurable revenue uplift in the short term**, making customer retention a high-impact strategic priority.